instrument independence; the government should not meddle in how the central bank goes about achieving the inflation target.

It is, in fact, a muted understanding of this principle that was at the heart of a widely reported public spat in early 2013 between the Government of Japan and the Bank of Japan. The Bank of Japan resisted the doubling of the inflation target by the government from 1 to 2 per cent even though the government was well within its right to do so. The Abe government, on its part, was widely seen as having transgressed the principle of separation of powers by not only setting the inflation target, but also prescribing that the Bank of Japan resort to quantitative easing to achieve that target.

The Price to Be Paid for Asserting Autonomy

There is a price to pay, of course, for not falling in line. The government has several ways of showing its displeasure, and the way it chose to do so with me was by going against my recommendations in the reappointment of deputy governors in the Bank.

As the head of the Reserve Bank, enjoined with a public responsibility, the governor should have the privilege of selecting his team just as the prime minister has the prerogative of choosing his Cabinet. There is no question, of course, that under law, it is the government that has the authority to appoint the governor and deputy governors of the Reserve Bank. There are rules about eligibility and tenure, which have to be complied with, and the system of selection has to be fair, transparent and contestable. Within that framework, a healthy convention should be to defer to the governor’s recommendation on the appointment of deputy governors. That privilege was denied to me.

Usha Thorat, whose term as deputy governor was expiring in October 2010, was eligible for reappointment for another two years in accordance with the convention followed till then of reappointing deputy governors till they attained the age of sixty-two years. Even as I was planning to formally write to the government recommending and requesting her reappointment, the secretary of the Department of Financial Services, R. Gopalan, called